Positioning and Week Ahead [07/20]

YAMCO

JUL 18, 2026 · PAID

What an interesting week and this chart sums it up.

- SPX - calm
- QQQ - a but more ghastly
- SMH - The world is ending

- DRAM - BEAR MARKET! (Just kidding)

I've been touching on Dispersion, and momentum volatility

Week Ahead Summary

1. The weekly straddle is 120. We've had some great intraday volatility. For now, I generally see two paths for the market - I know … higher or lower is quite a revelation but's dive in.
    a. The rotation in tech // marginal bid of MAGs while SMH bases sends us higher- it's time to see what the hyper scalers say about CAPEX growth (or lack of) and earnings as a result of their aggressive CAPEX cycle.
    b. On the flip side, does earnings commentary support a strong jobs market (covered AI job gains by Citadel last week) and a strong economy but the re question (to be answered on earnings) is this - Do the valuations make sens
2. Realized Volatility continues to collapse into 07/20 & 07/23. Historically sharp drops in RV see some bouts of volatility within the next 7 trading days. Let's se how this goes. If you've been around for a while, you know that RV drops norm bring about Vol Control Fund inflows (Systematics that invest on 1m trailing R so the event could be a one day BTD - or something else - let's see!
3. Net positioning looks to me like a choppy index move; positioning doesn't particularly look bearish or bullish for the week - dispersion is likely to increas into earnings (call it the rotating MAG ponzi system). One heavily weighted sir name can move the index (or keep it from moving if there's a bit of profit takin
    a. ADV line is making new highs while price is stuck; violent rotation going c under the hood as everything AI related dies around CAPEX slowdown fea

Summarizing the above and looking forward, the environment as dictated by VIX term structure has remained bullish with some violent moves in single names. Th

market is generally rotating beneath the surface, "internals" look strong, and ther definitely some "warning signs" which abound ranging from:

1. COR1M coming off pretty much a 1 year low
2. Dispersion remaining at record highs
3. VIXEQ/VIX coming off record highs

None of the above are necessarily a reason to be bearish - after all, we've been in a high dispersion environment for much of the year, correlations are moving higher off near record lows (look at pre-2022 correlations before 0DTE SPX and look at l it's shifted down after the April single name 3x a week options came out).

Topics covered

1. State of the Market
2. Next week
    a. Straddles with 50/70 percent ranges
    b. Term Structure
    c. Total Market Structure
    d. Net positioning (Aggregate and by day)
    e. Technical Structure of the Market
    f. Sentiment
    g. Key zones to watch
3. Charts of Interest

State of the Market

Realized Vol Degrossing

The momentum unwind has been unrelenting. There's an emerging narrative that momentum unwinds lead to broad market draw downs - Generally I'm not the bigg fan of that narrative and think it's a bit more complex. The conditions from de-grossing momentum can carry over to a broader sell-off, but I see it as more of a powder keg is here, and we need a match to trigger the broader move down in the market. More powder (or kerosene) is set with VCFs generally hitting peak exposur into 07/23 and any sharp index moves can trigger de-grossing on top of momentum being walloped.

Without getting too much into the weeds, let's dive into some quick info on this (nc going to spend too much time)

Realized Vol - what is it

Simply the standard deviation of the close/close return (basic) or intraday vol (more advanced) over a time period.

Spikes in Realized Vol in Asset A cause degrossing across risk parity portfolios

How does this work? well.. Simply put … Each asset class (or asset) contributes equa risk to the portfolio so as volatility spikes in an asset, the fund de-leverages or is margin called due to gross exposure thresholds being recalculated.

This is the "Powder Keg scenario" to trigger the correlation to 1 event. For now - ju look at the Week or month to date performance of SPX/QQQ/SMH/DRAM to see tl wild asset swings.

Back in February when my friend Tony and I did the Realized Vol discussion, we sa Realized Vol can only go up from here and de-grossing of funds was a slow bleed th could exacerbate selling pressure from a catalyst. Well here we are - in Late July anc we have a similar back drop of systematics.

ES VWAPs

Consolidating just under this cluster of AVWAPs.

NQ VWAPs

Flushed and recovered the March 30th AVWAP and closed on the AVWAP into clo: quite the sight to see a daily range of 800 pts on NQ. For now - there's serious divergence on all major AVWAPs between ES and NQ.

Why is this important?

Well....I see AVWAPs as a moving volume profile vs static one and think they're ver useful in looking at price movements.

Indicator Used

I published it on trading view [AVWAPs, MAs in one]

It takes a bit of setting up but you can do it!

Where are we

The good - Structurally, things look fine and let's go through them

- Holding all AVWAPs
- Working through overhead supply from the early June sell
    - Think of this candle as the same as 10/10 - It took weeks to get over and confirm this level as support for near term. In order to break the range, we needed the November sell.
- ADV line at the highs (Slightly off the highs as of writing)

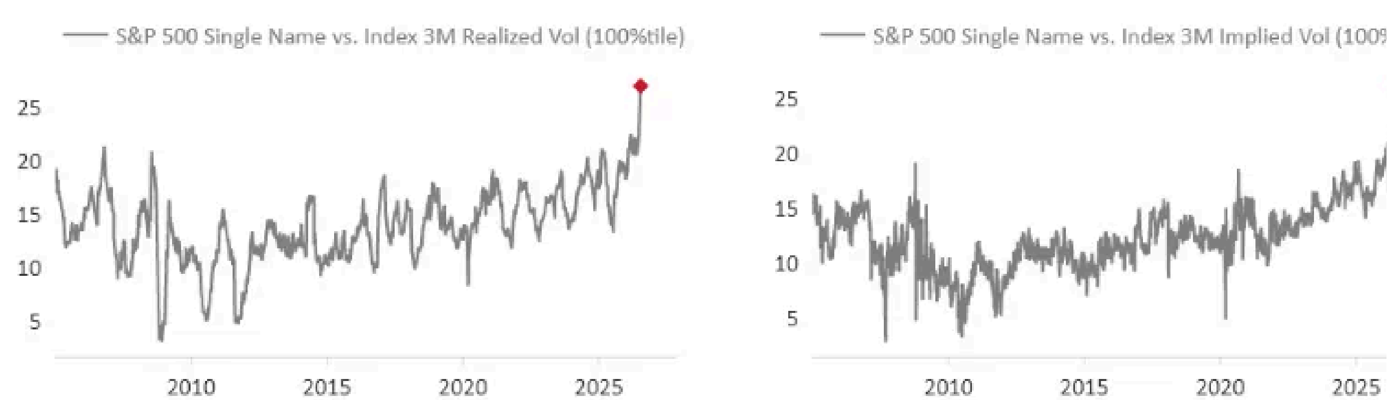
The bad - Tech is no longer a leader - Can the market make a new high without Tec

- Market lost all intermediate term moving averages (21D EMA, 50DMA)
- NQ is noticeably weaker than SPX for the first time in a while - the AI factor is resting
    - Do I think the buildout is over - nope not one bit. It's not rocket science bu for the market to make a new high, a marginal bid needs to enter big-tech - Semis stay relatively strong (doesn't have a massive sell off, and MAGs have modest bid), it's enough to push the index higher. Earnings are coming up s we might see the liquidity vortex kick in, RSP bleeds a bit, MAGs catch a bi while semis stay flat - the marginal bid keeps us lifted higher.

Dispersion and you!

Simple chart showing dispersion (green) and forward 1M correlations - basically th market looks fine at the index level but individual stocks are having massive underlying moves. At the same time, nothing is really moving together (COR1M) - hence the (near) record lows. Is this a bad thing? Not necessarily - it just means a headline can break something but you need the headline to occur.

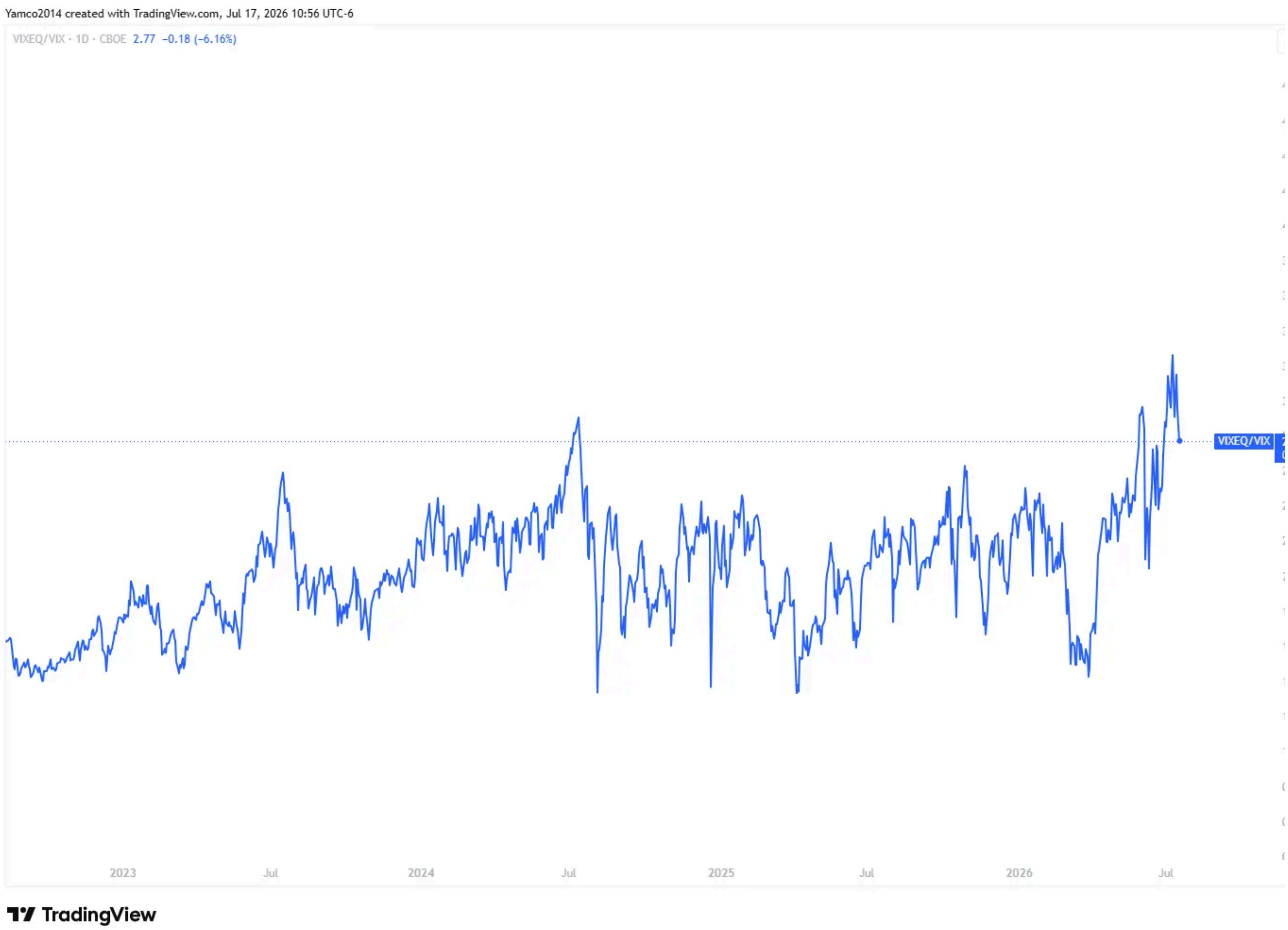
While we're on the topic of dispersion, let's look at this chart from Nomura's Charli McElligott



Source: Nomura Vol

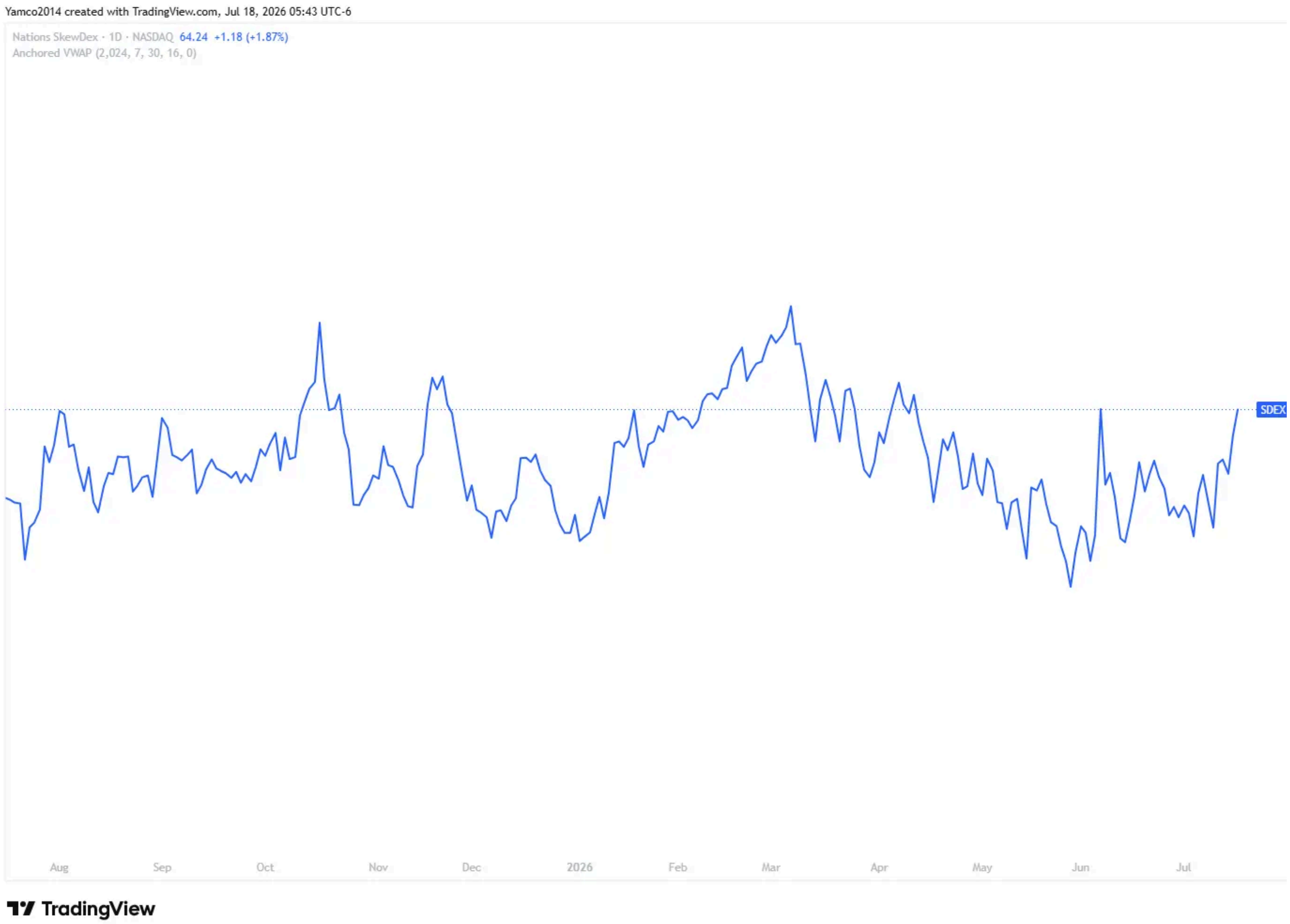
Peak realized vol v Implied vol on single name relative to the Index.

VIXEQ (Single name stocks) / VIX (Index)



While we're at it - let's take a look at VIXEQ/VIX - the ratio of single name 30D volatility v index volatility. It hit an all time high last week and is coming down a bi

SDEX- Cost of crash insurance



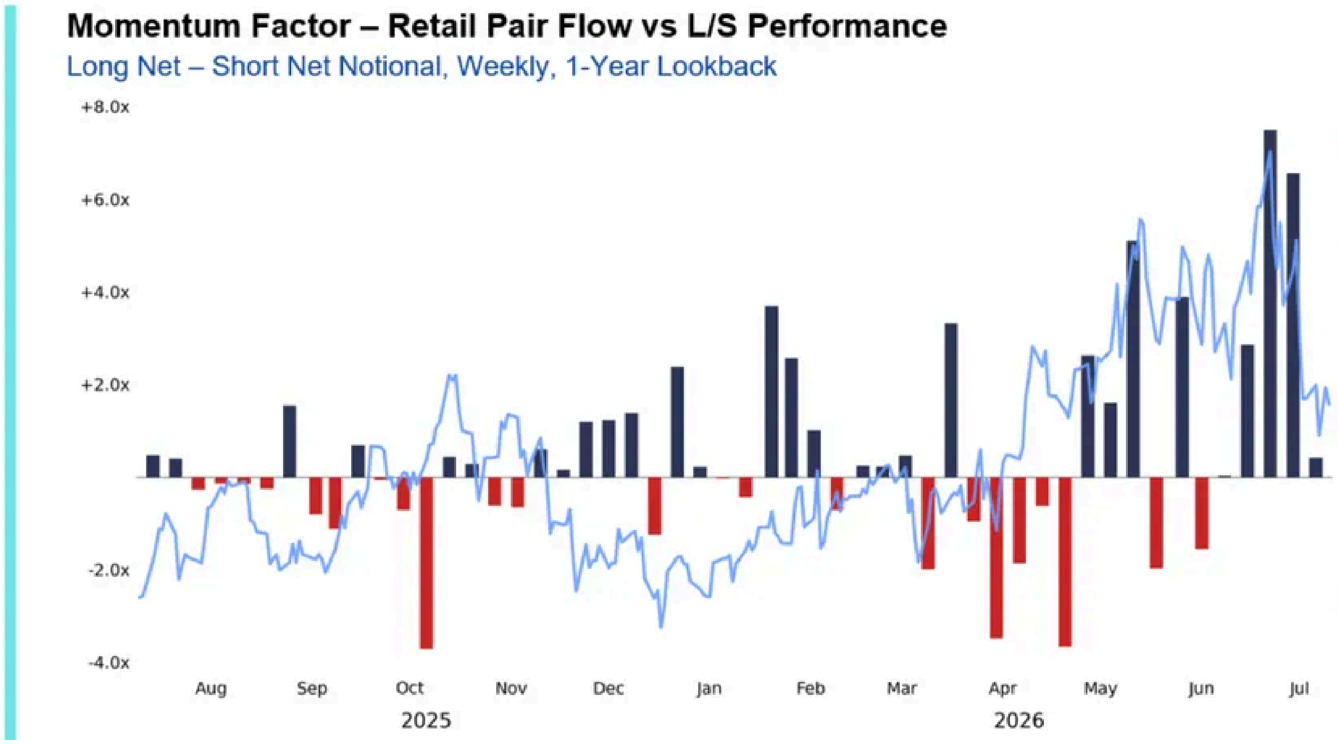
As a former actuary, I really like covering this metric

SDEX is “How much does it cost for crash insurance compared to an ATM put.

Note: When the VIX is high, the 1-standard-deviation strike is further out-of-the-money.

Citadel’s Scott Rubner had some interesting charts out on July 13th and I wanted tc highlight a few: [Rubner July 13th]

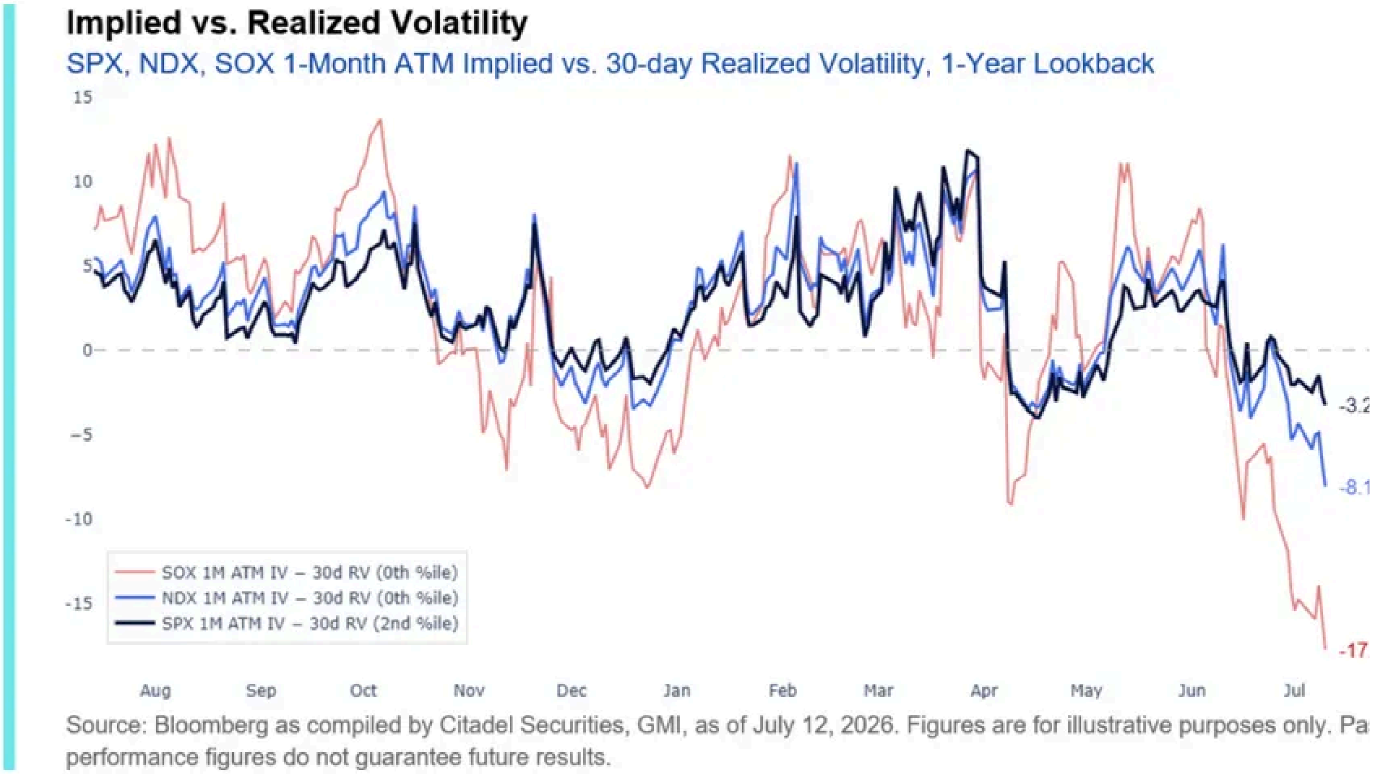
Retail momentum factor



He noted that for the first time in a while, retail actually net sold momentum names the latest moves down versus buying the dip. He does note that normally this is the bottom before a sharper move higher in SOXX.

IV v RV across the market and in momentum land

This is simply a view as to what the market priced in vs what happened. As you can tell, the options market got it all wrong - it was priced for nothing to happen and something did.



SP performance by sector

S&P 500 Sector Performance
July 2026 MTD

Sector	SPX Weight	MTD Performance
Communication Services	10.0%	+4.09%
Financials	12.1%	+3.80%
Energy	3.1%	+3.53%
Health Care	8.9%	+1.33%
Real Estate	1.8%	+1.12%
Consumer Staples	4.6%	+0.78%
Consumer Discretionary	9.3%	+0.40%
Materials	1.8%	+0.15%
Utilities	2.2%	+0.10%
Information Technology	37.7%	+0.04%
Industrials	8.7%	-1.84%

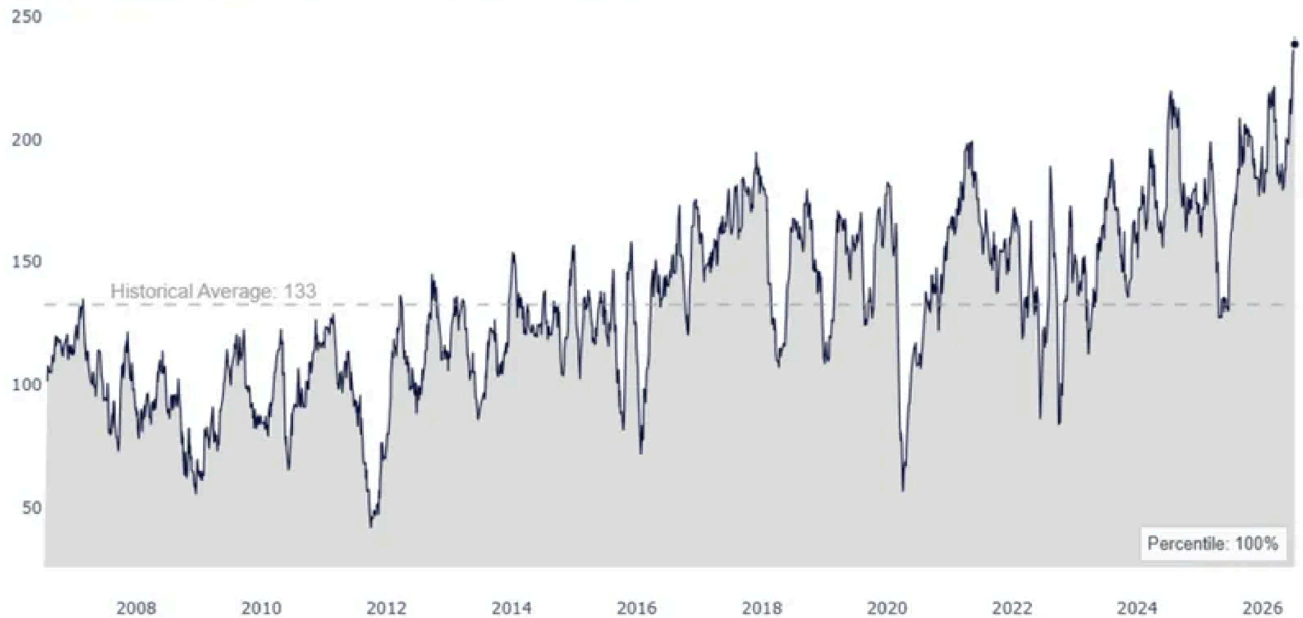
Source: Bloomberg as compiled by Citadel Securities, GMI, as of July 12, 2026. Figures are for illustrative purposes only. P
performance figures do not guarantee future results..

Market Breadth on Market Sell offs

Average breadth on down days has nearly *doubled*. **Over the last 20 SPX selloffs, an averag of 239 constituents finished higher, compared to a 20-year average of 133.**

Breadth on SPX Selloffs

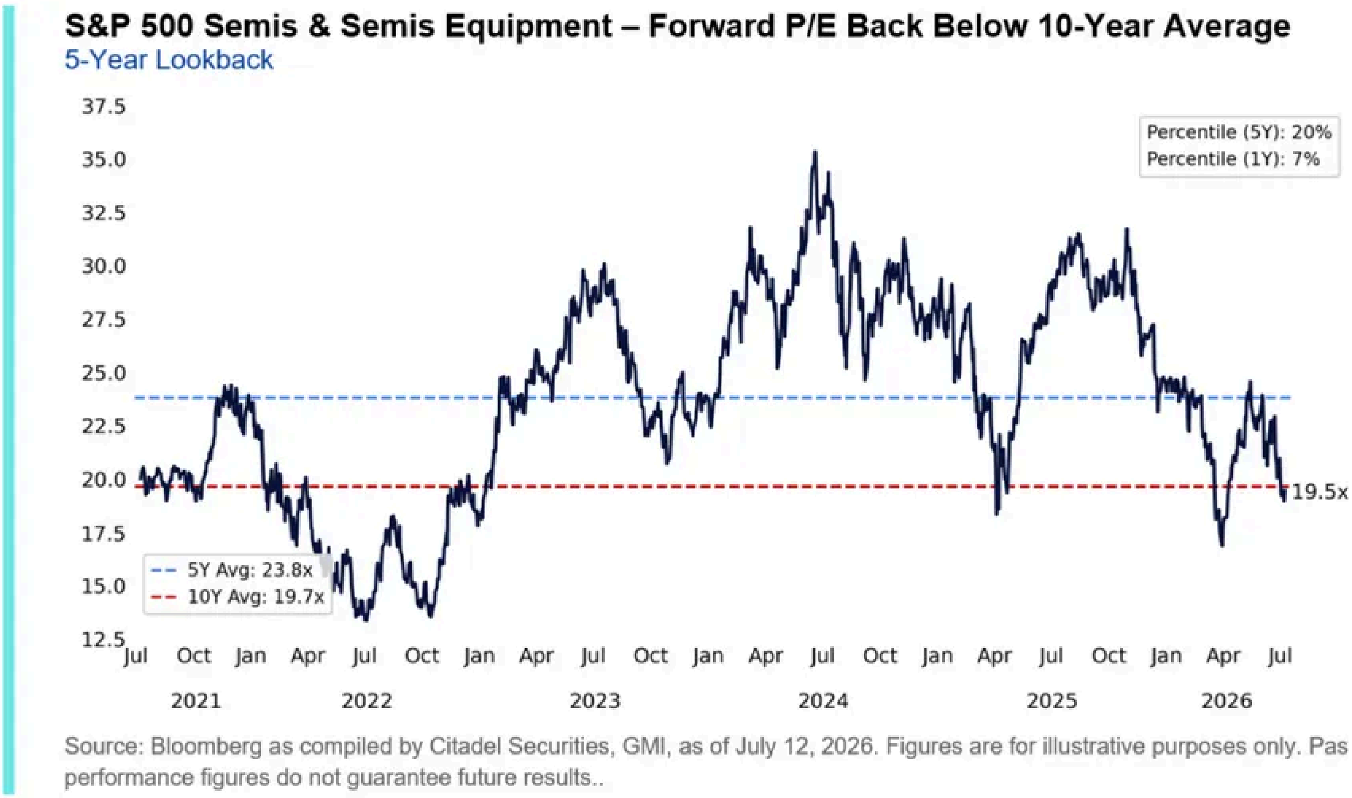
Rolling 20-Down-Day Average – # of S&P 500 Names Finishing Higher



Source: Bloomberg as compiled by Citadel Securities, GMI, as of July 12, 2026. Figures are for illustrative purposes only. P performance figures do not guarantee future results..

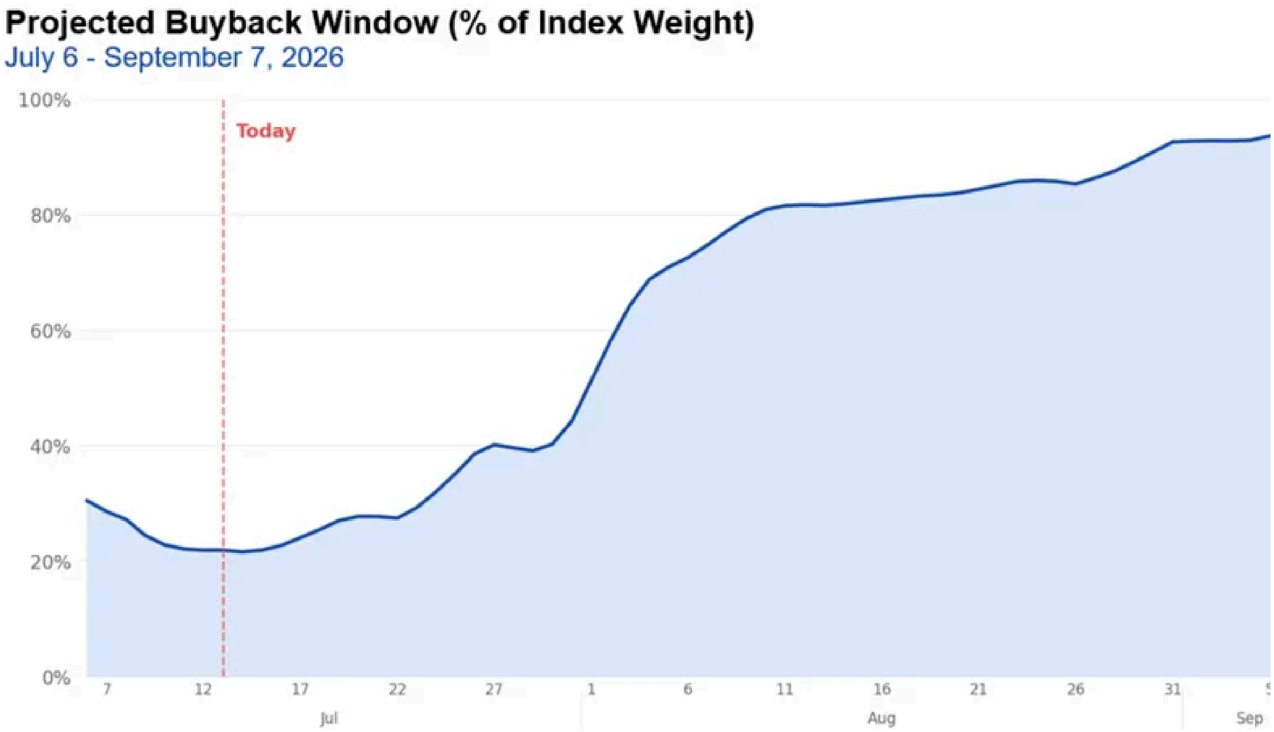
This is a pretty interesting article - rotation into non-momentum is expanding and I’ve been highlighting, ADV line is at the highs while the market chops. Indication market is going higher.

Valuations



Consider this - the forward P/E is below the 10-year average after the latest momentum sell off.

Buybacks by Index Weight



Source: Bloomberg as compiled by Citadel Securities, GMI, as of July 12, 2026. Figures are for illustrative purposes only. performance figures do not guarantee future results..

Consider inflows, liquidity - is it under stress - currently the market is generally in blackout window - by the end of the month, the blackout window is over and buyba can resume in full by mid-August.

Week ahead

1. Next week
    a. Straddles with 50/70 percent ranges
    b. Term Structure
        i. VIX Futures
    c. Gamma Surface Model
    d. Realized Volatility
    e. Net positioning (Aggregate and by day)

f. Technical Structure of the Market

g. Sentiment

h. Key zones to watch

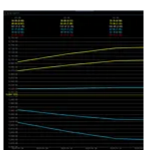
Economic Calendar

Current Time: 13:04 (GMT-4:00) | Display Time: remaining | All data are streaming and updated autom

Time	Cur.	Event	Imp.	Actual	Forecast	Previous
		Wednesday, July 22, 2026				
10:30	US	Crude Oil Inventories	★★★			-1.692M
		Thursday, July 23, 2026				
08:30	US	Initial Jobless Claims	★★★			208K
		Friday, July 24, 2026				
09:45	US	S&P Global Manufacturing PMI (Jul) P	★★★			53.9
09:45	US	S&P Global Services PMI (Jul) P	★★★			51.2
10:00	US	New Home Sales (Jun)	★★★			580K

Let's look at next week's economic events:

some PMI stuff - generally a non-event so nothing to really track economically.



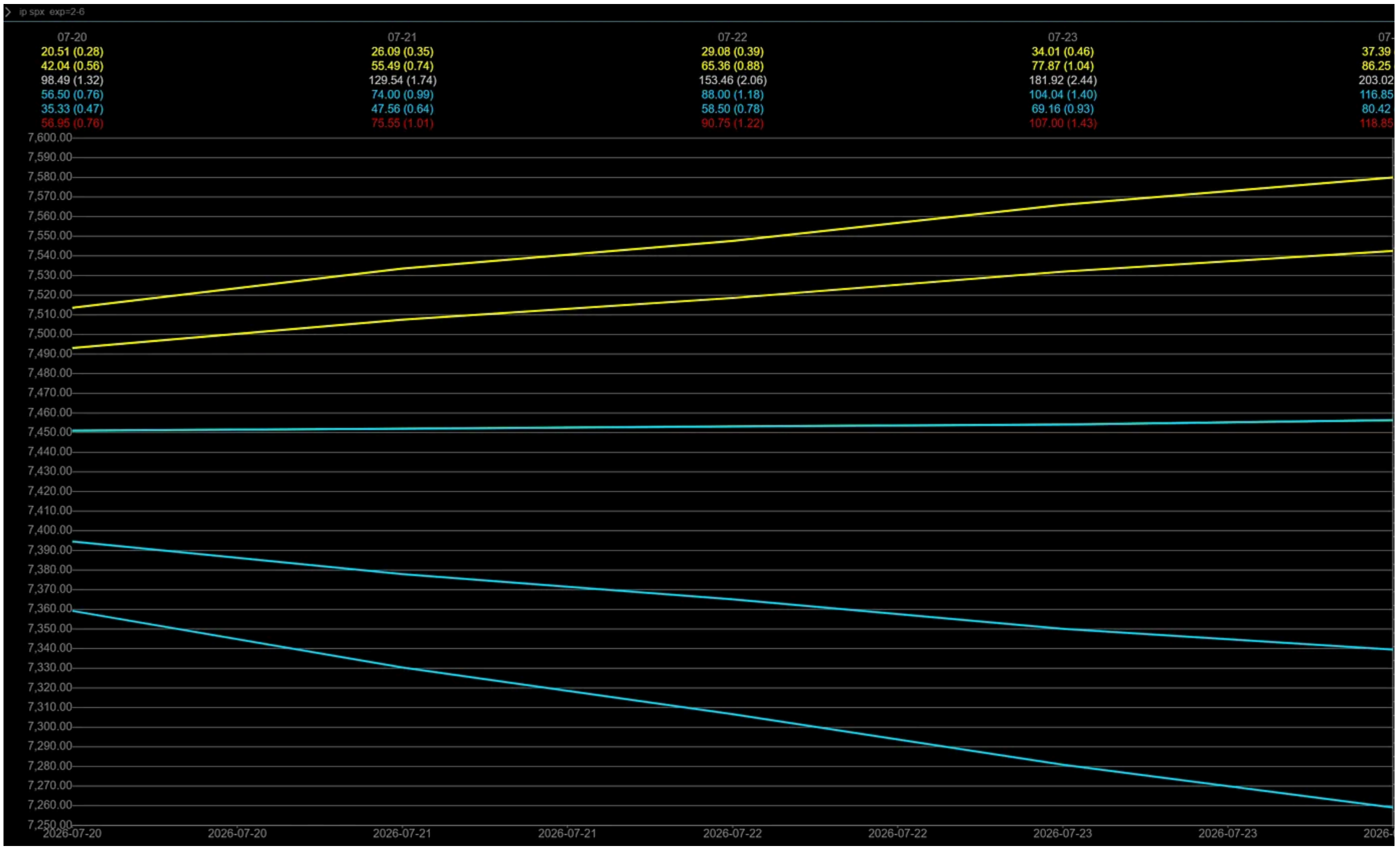
Review of Positioning Metrics

YAMCO • JANUARY 29, 2025

Read full story →

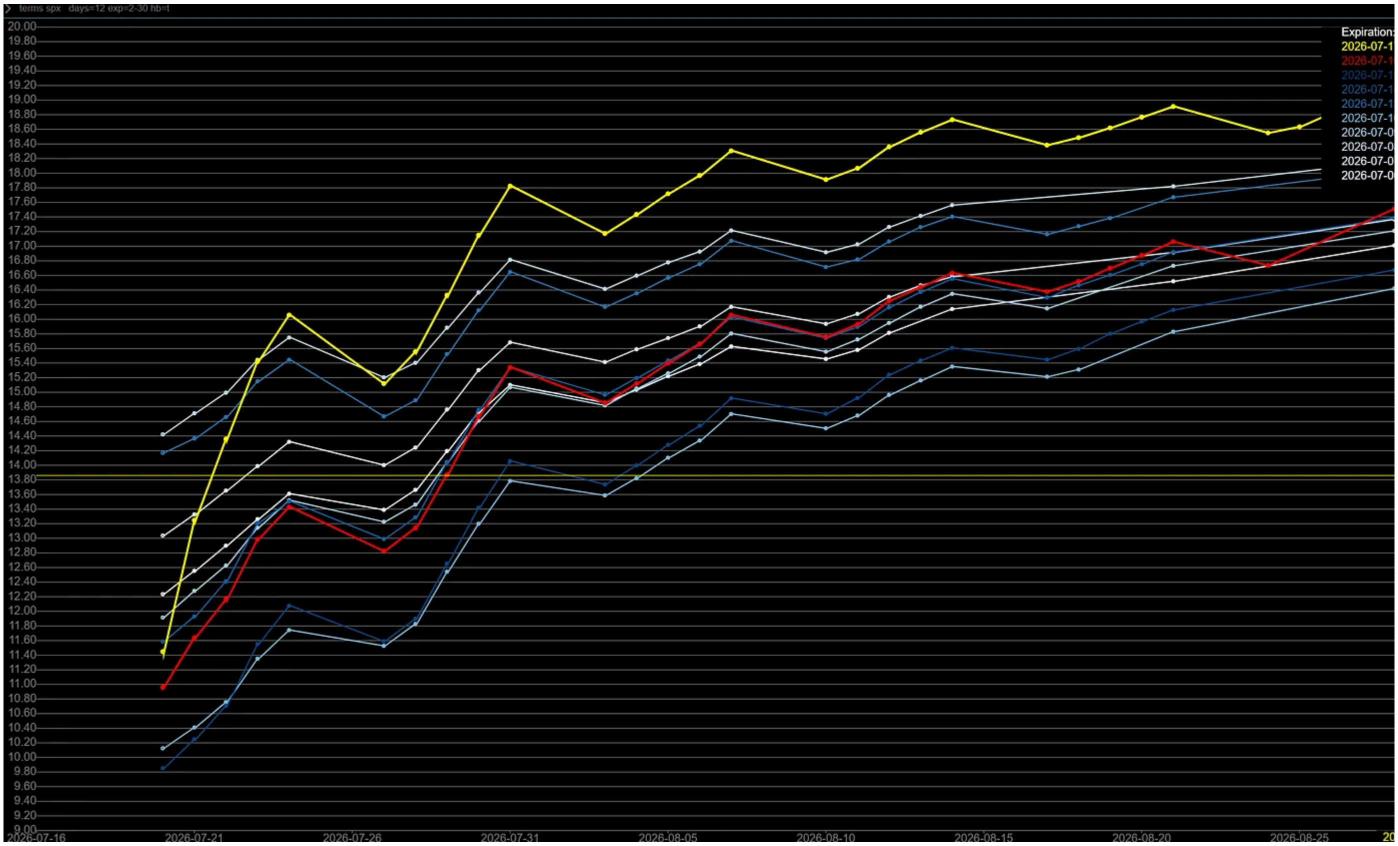
I added some general explanations of my scanner to the Review of Positioning Met
(Keeping everything in one place)

Straddles with 50/70 percent ranges



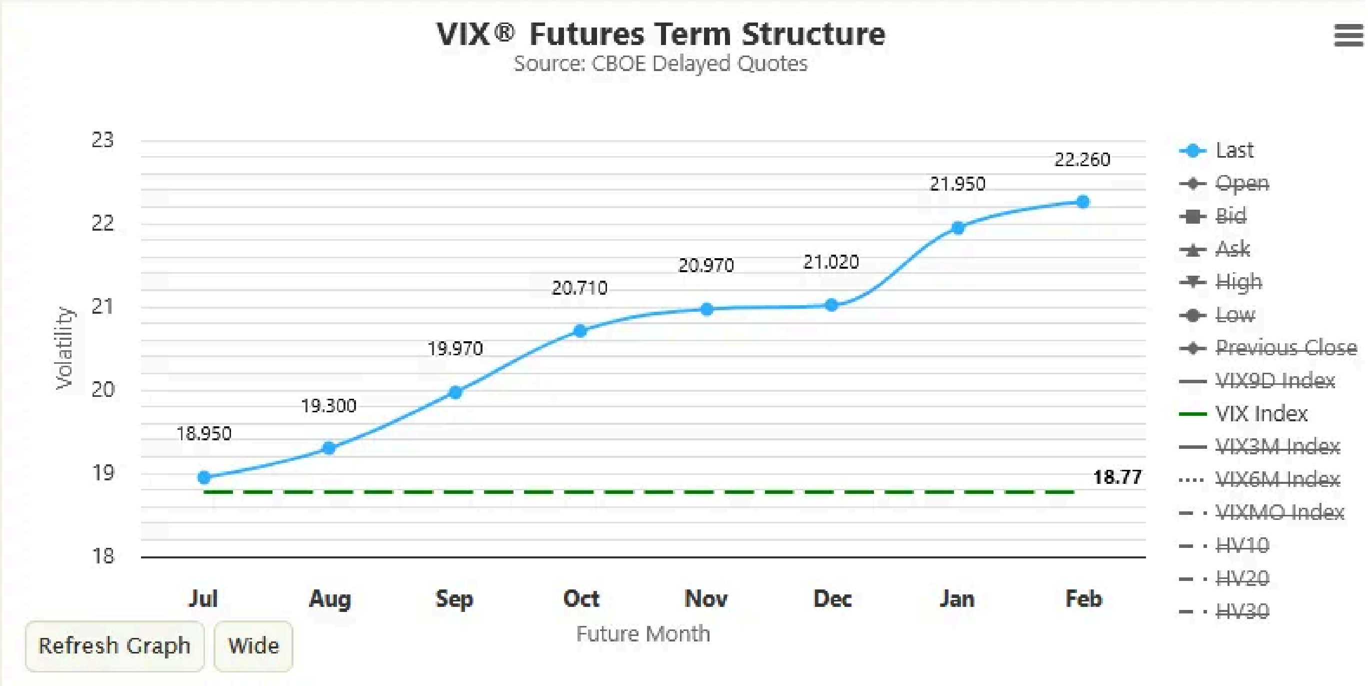
- Various Time Frame Straddles
  - **Weekly Straddle Range: 120pt straddle implies a weekly range of [7337, 7**
  - **August MOPEX Straddle: 273 pt range implies a OPEX to OPEX range o [7174, 7730]**
  - September QOPEX Straddle is 459 pt giving us a range of [7041, 7960]
    - This is from June OPEX
  - DEC2025 OPEX to DEC2026 OPEX is 945 points giving us a range of [5889,7779]

Term Structure



Term structure is pretty much at the highs- Fear has expanded while the market en down below the 50D and 21D EMA.

VIX Futures Curve

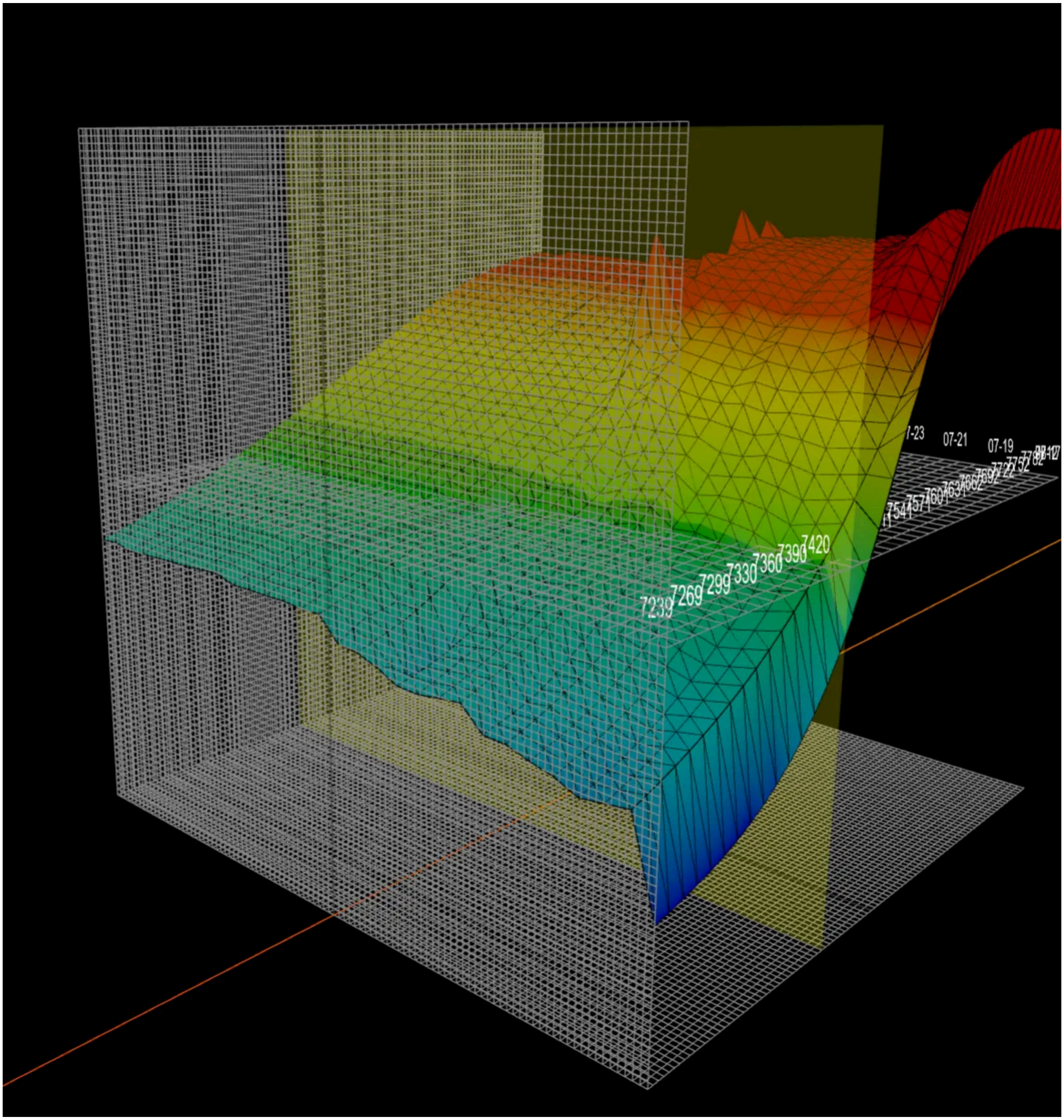


% Contango	1	1.85%	2	3.47%	3	3.71%	4	1.26%	5	0.24%	6	4.42%	7	1.41%	8
Difference	1	0.35	2	0.67	3	0.74	4	0.26	5	0.05	6	0.93	7	0.31	8

Month 7 to 4 contango	5.99%	2.00%

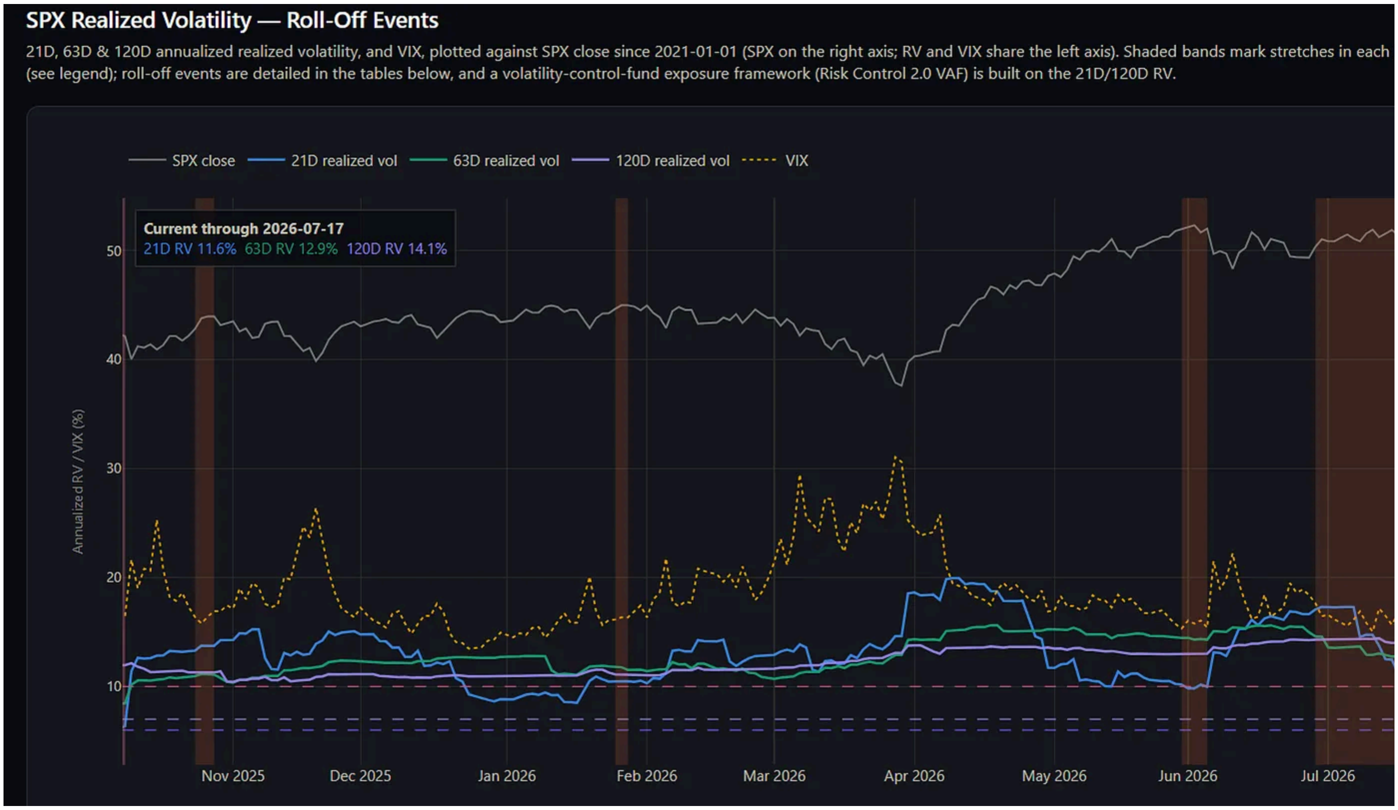
Curve looks fine - bid in spot VIX but still healthy for now. Until spot VOL is over front two months, we remain in a structurally BTD environment - If that happens, i a bit of a short the rip environment until it resolves.

Surface Models



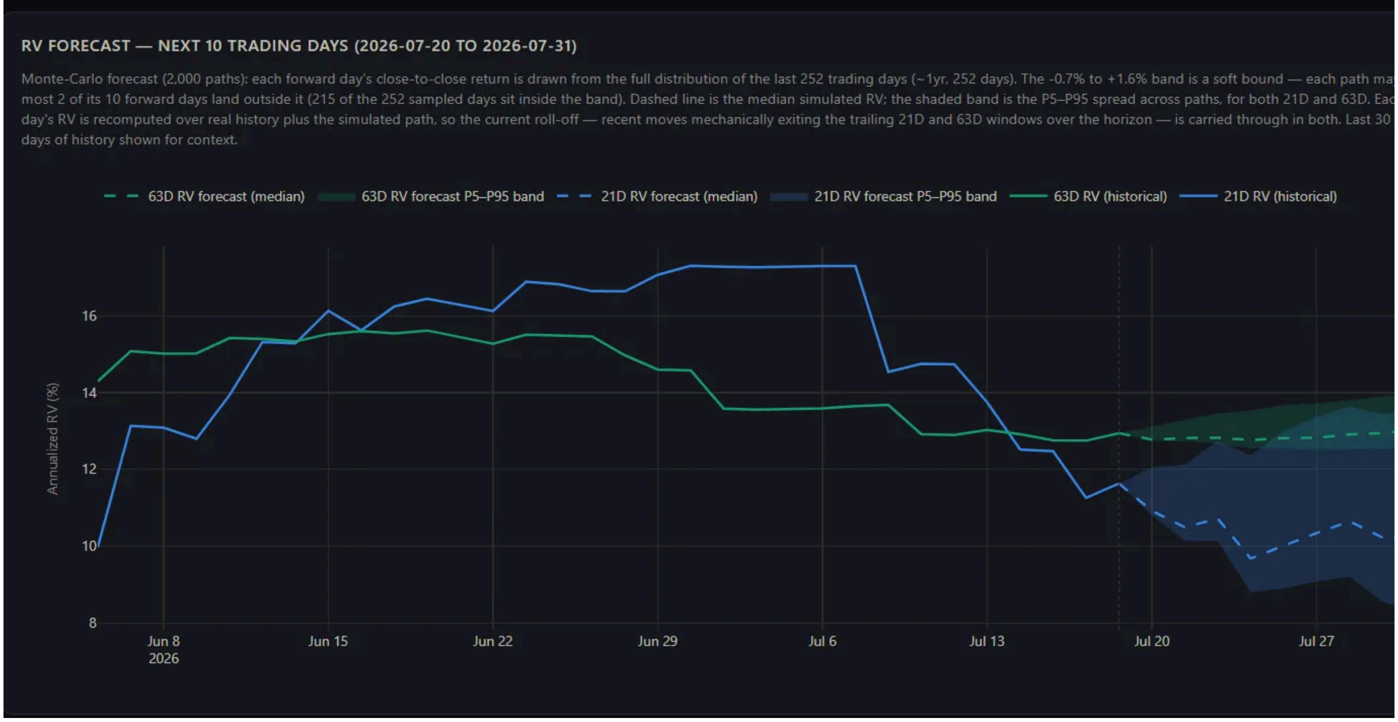
As of Friday morning, we're at the cumulative gamma flip at 7450 with a steep upsi
surface overhead. Note - this is pre-OPEX settlement, I'll post the new run on Mon
morning.

Realized Volatility



The major RVroll-off began on July 8th and ends around July 16th with a smaller ro
off from 07/20 to 07/23. An RV warning period opened on 07/08 - I had a manual cal
that said 07/13 was the date but it was wrong.

How might it look for the next week and two weeks?

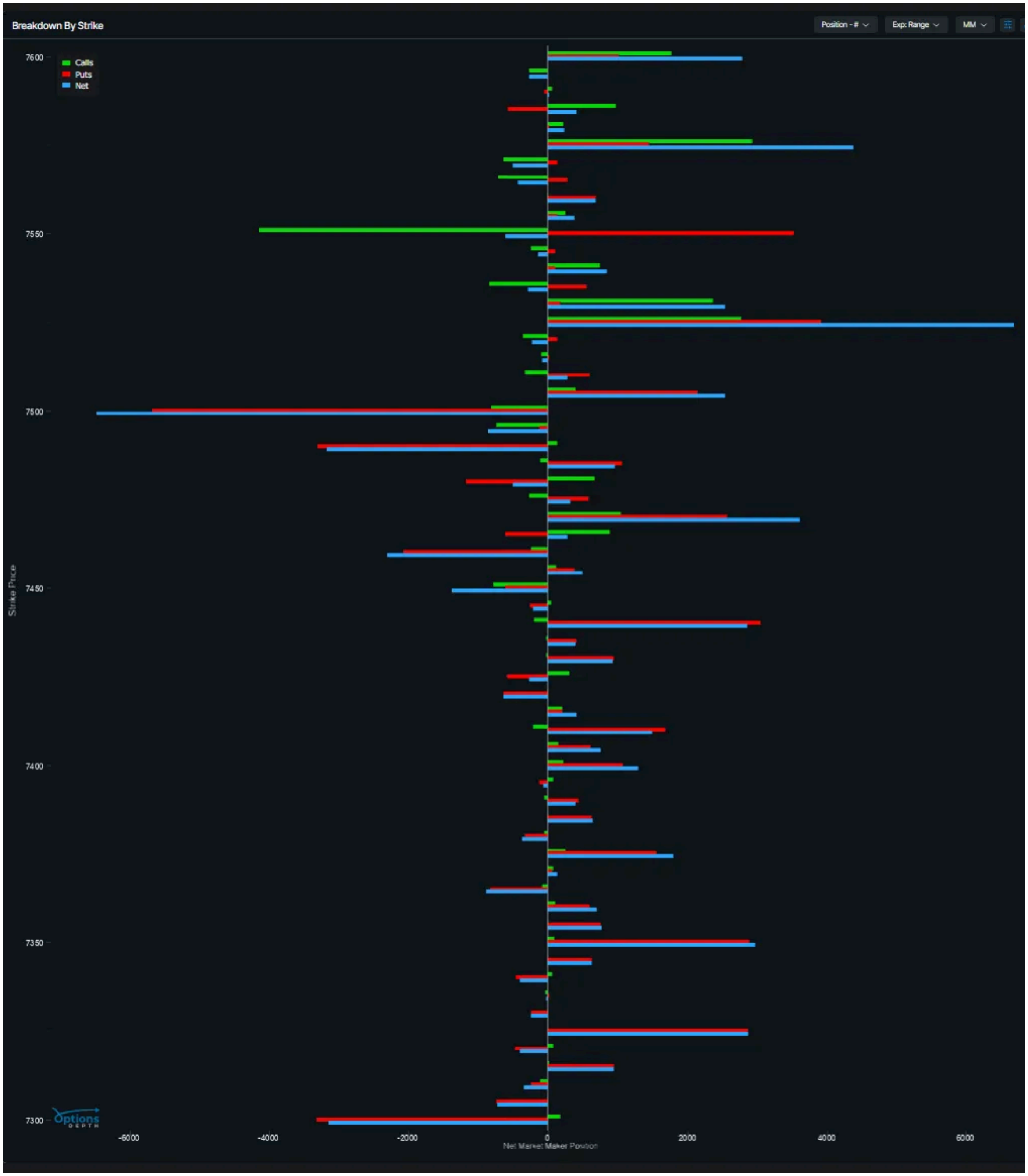


What about 3 weeks?

One thing to note here - We're getting influxes of liquidity into July 23rd at which point, we're approaching what's likely a local low in realized vol.

SPX Net positioning (Aggregate)

Aggregate Through EOW



The snapshot above is from 7300 to 7600

How to read

- Green: Calls
- Blue: Puts
- Red: Net
- Left: Dealer Short (Market net bought)
- Right: Dealer Long (Market Net sold)

What stands out the most to you?

Market is look poised to stay within a range into earnings but let's see the day to da adjustments as the week goes on. Near term there's some protection but further do there's plenty of support. 7525-7575 looks to be the near term top on the index for n

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https://optionsdepth.com/app?via=Yamco

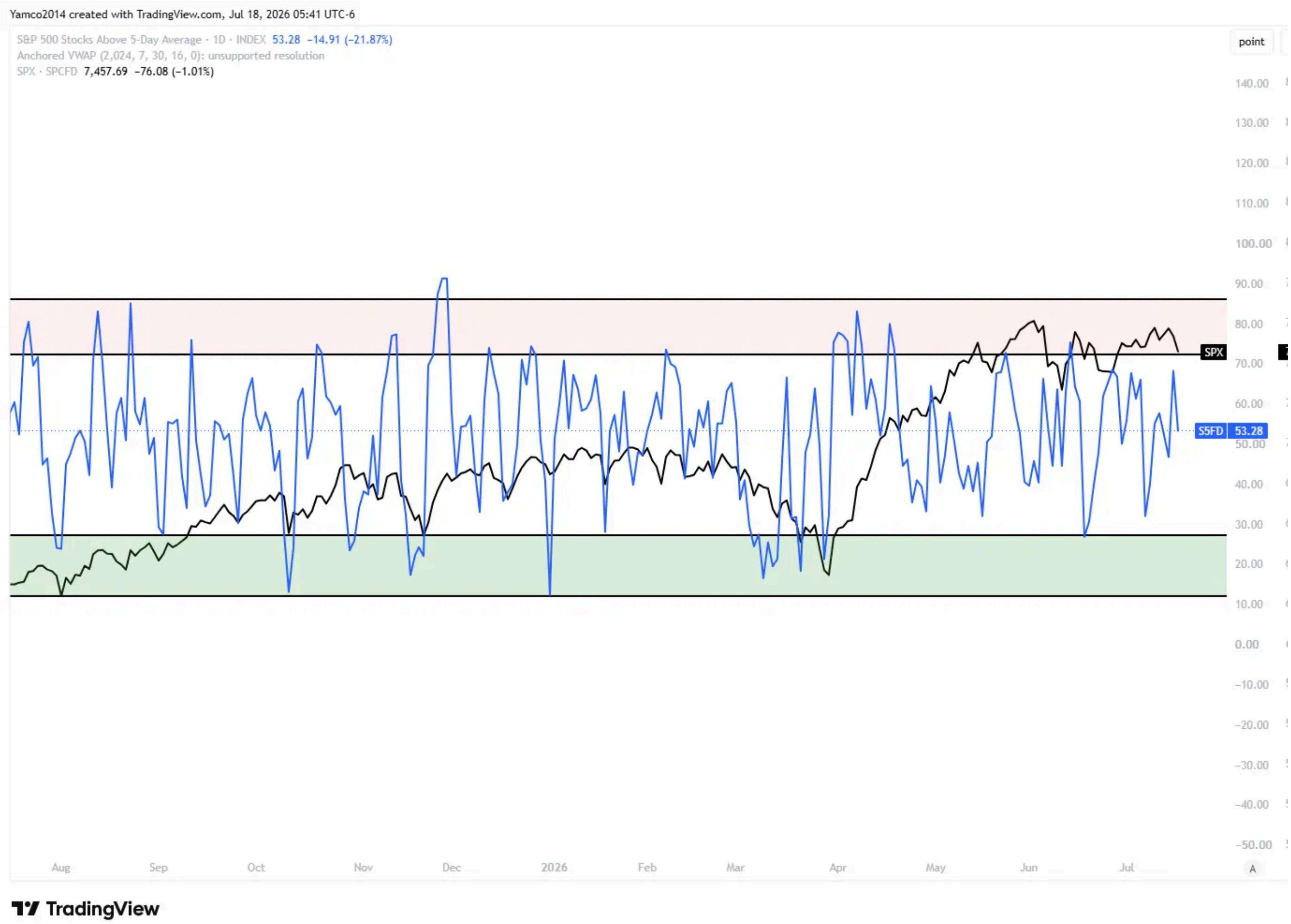
Technical Structure of the market (breadth)

Advance Decline Line

Short term, the ADL is at highs while the market closed under the 21D EMA and 5(SMA - OPEX shenanigans or something else? I lean to OPEX shenanigans.

Percentage of stocks over moving averages

5 Day - SF5D



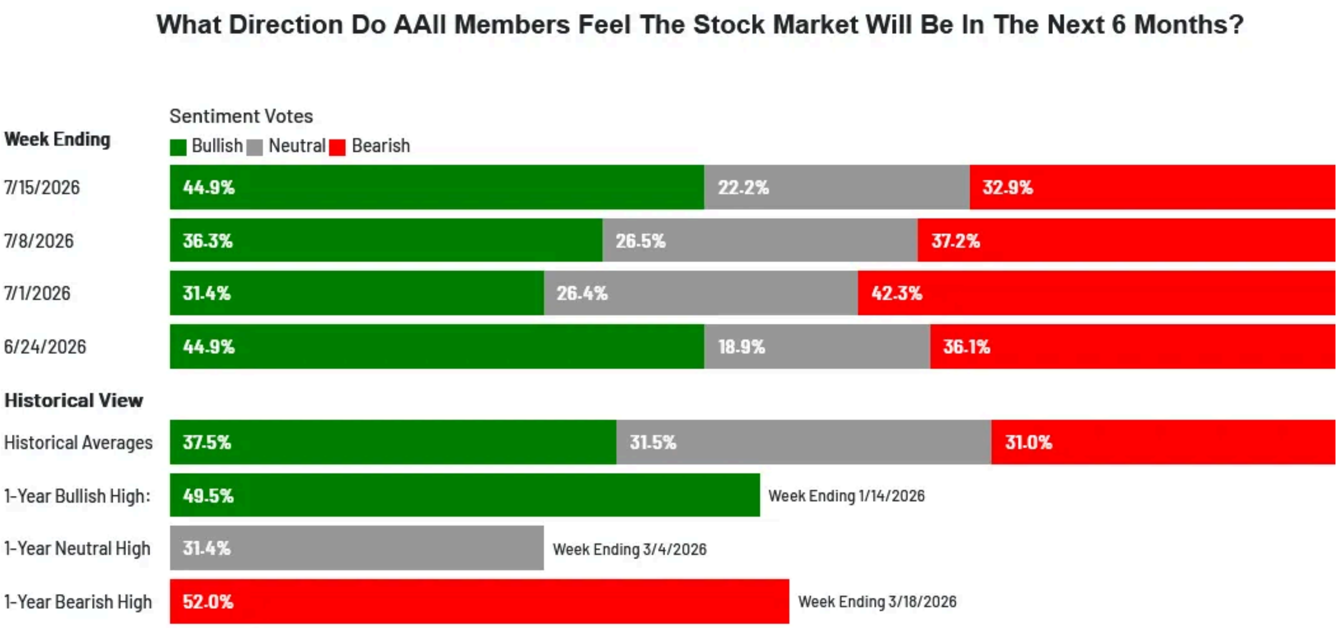
This metric tracks the percentage of SP500 stocks above their relative 5-Day movin average - It's in the middle of the range and is violently chopping around

How to Read

- Blue Line = S5FD
- Black Line = SPX
- Green Box = S5FD from 15-30
- Red Box = SF5D from 70-90

Your eyes should pick up on the oversold/overbought conditions when S5FD reache extremes - does it always work - depends what you think about wobbles and corrections in time. There's nothing in short term that looks like a worry

Sentiment and Exposure



AAII is released on Thursday mornings

As of Thursday morning, investors are bullish again!

NAAIM Exposure

This week's NAAIM Exposure Index number is*:

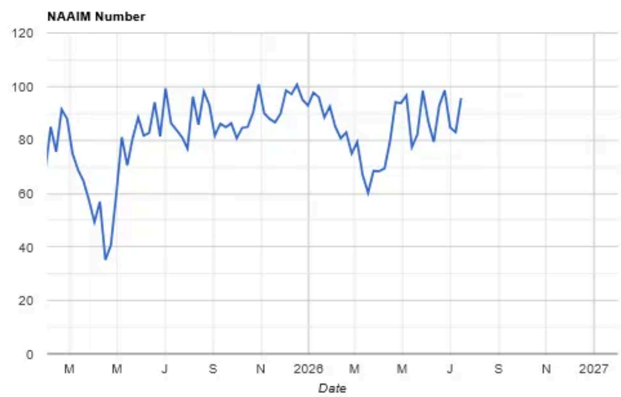
95.64

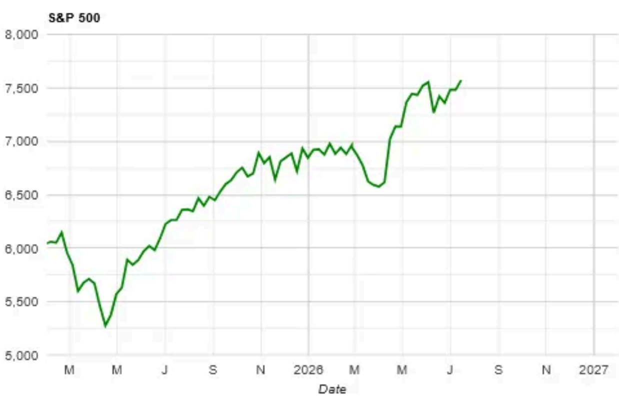
Last Quarter Average (Q2)

87.19

Download EXCEL file with data since inception » HERE

*Posted on Thursday, July 16, 2026





Date	NAAIM Number Mean/ Average	Bearish	Quart1	Quart2	Quart3	Bullish	Deviation
07/15/2026	95.64	-25	90.00	100.00	100.00	200	47.97
07/08/2026	82.95	-50	67.50	98.00	100.00	200	58.71
07/01/2026	84.69	0	63.75	96.50	100.00	200	54.64
06/24/2026	98.59	0	85.50	99.00	100.00	200	43.91
06/17/2026	92.83	-25	87.50	100.00	100.00	200	49.11
06/10/2026	79.27	-100	75.00	90.00	100.00	200	53.30
06/03/2026	86.82	-200	85.75	95.00	103.75	200	72.07
05/27/2026	98.39	0	87.50	100.00	100.00	200	47.62
05/20/2026	82.02	-100	69.00	96.00	100.00	200	55.01
05/13/2026	77.34	-200	78.75	99.00	100.00	200	68.17

NAAIM member firms who are active money managers are asked each Wednesday provide a number which represents their overall equity exposure at the market clos Responses can vary widely as indicated above. Responses are tallied and averaged t provide the average long (or short) position of all NAAIM managers, as a group.

As of Thursday, funds are generally back at max exposure.

Metals (Silver/Gold)

SLV 1.83%↑ (using Front Month Silver Futures)

Monthly scale

I think technically, the 2011 highs area is a buy zone - markets often have memory a if offered, it could be a nice spot to try.

Weekly scale zoomed in

CPI can move metals sharply as rate hikes are priced in the forward fed curve - for now - momentum looks not so great while price appears to be setting a floor - an aggressive push down on an oil spike (Oil and metals are correlated) would likely be capitulation buy for me.

GLD 1.13%↑ (Using Front month Gold Futures)

Weekly

Momentum slowly curling higher

RSI divergence failed.

Key zones to watch (SPX)

Let's put some key moving averages on the chart and look at some basic straddle ranges (Weekly,Month end to Month end, Opex to Opex, QOpex to Qopex, DEC OPEX to DEC OPEX).

← Previous